

Downward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bearish reversal	Short-term bearish reversal
Performance rank	24 out of 36	10 out of 19
Breakeven failure rate	25%	8%
Average decline	14%	22%
Volume trend	Downward	Downward
Pullbacks	66%	66%
Percentage meeting price target	49%	53%
See also	Broadening formations, right-angled and descending; broadening tops; broadening wedges, descending; head-and-shoulders tops; head-and-shoulders tops, complex; triangles, ascending; three falling peaks	

Triple tops remind me of some mountains in New Mexico or the drumlins in upstate New York. A mountain or hill soars above a flat plain. They look odd because they stand alone. I love those mountains, but triple tops are another matter. As bearish patterns, they predict a price downturn, and that is never a good omen for traders owning a stock.

The performance rank is mid-list in bear markets and worse in bull markets. In bear markets, the failure rate is low, 8% (ranking eighth where 1 is best), and that's terrific. In bull markets, failures are three times higher. *Ouch*. I understand that bull markets try to push price up and bearish patterns will struggle to perform under those conditions. The results suggest that you should trade triple tops only in bear markets, and even then you may need to hold your nose (and your wallet or purse).

Let's look at triple tops so we can better understand this pattern.